

THE BREWING HISTORY OF STARBUCKS



JOURNEY AND TRIUMPH IN INDIA

Dream Come True for Three Coffee Lover Buddies



Imagine you are a hard-core coffee lover but don't have access to the most delicious coffee beans in your area, what would you do? Whatever your answer is, opening a coffee shop is probably not on your list. And if it is, then congratulations, you have the mind of a successful entrepreneur! Why? Because the founders of Starbucks did just that!

Starbucks was founded in 1971 with the aim of making dark-roasted coffee accessible in Seattle. University friends Gerald Baldwin, Gordon Bowker, and Zev Siegl started Starbucks to sell whole-bean coffee, tea, and spices. Now, look how far the business has come! Well, this is the result of continuously modifying business strategies to adapt to the changing demands of consumers and the market.



Initial Strategies and Modifications



In the first few years, Starbucks failed to gain much popularity. However, under the transformative leadership of Howard Schultz, Starbucks started growing rapidly. As a result of his Aggressive Expansion Strategy, the brand had 165 stores in 1992.

Since the latter half of 2018, Starbucks has faced a sharp decline in its sales, especially Frappuccino. The main reason behind this was changing consumer preferences. That time consumers are shying away from sugary drinks due to increasing health consciousness. To deal with this issue Starbucks shifted its strategy to include more refreshing beverages like tea and different types of cold brew coffee.

The brand didn't stop there. It continuously modified its strategy according to the trends like launching mobile apps and different campaigns for better customer engagement and reach. Their advertisements also started promoting inclusivity which is a trending topic In the U.S. even now. Needless to say, the company is currently one of the most popular coffee chains around the world.



Entry to the Indian Market- A Partnership with Tata



Starbucks entered the diverse market of India in 2012 even though the first attempt was in 2007. With a joint venture with Tata Coffee Starbucks opened its first store in Mumbai. In 2013, Starbucks was able to expand its presence in Delhi and Pune.

The brand understood that the emotion of Indian consumers lies in its rich culture and heritage. The Flagship Starbucks store in Mumbai displayed the perfect combination of local aesthetics and Starbucks' rich coffee culture. It successfully captured the elegance of local culture- warm and welcoming. It helped the brand to capture the attention of Indian consumers. Despite several challenges, the brand continued to grow in the Indian market. Currently, Starbucks has more than 300 stores in 36 cities in India.



Initial Challenges Faced by Starbucks in India



1. The major challenge Starbucks faced initially was regarding its high price. The brand kept its product prices the same while entering India. However, the price was very high in India compared to the first-world countries. The majority of the Indian population did not like the idea of consuming “overpriced” coffee only because of its aesthetics.

2. Fierce competition in the market was another challenge for the brand. At the time Starbucks entered the Indian market brands like Indian Coffee House, Cafe Coffee Day and others were dominating the market. So it was difficult for Starbucks to gain a competitive advantage in that market.



Initial Challenges Faced by Starbucks in India



3. India is a country where tea is a preferred beverage over coffee. According to the data of the “National Sample Survey Organisation”, Indian population consumes 15 times more tea than coffee. Being a coffee-heavy brand Starbucks mainly focused on providing different varieties of coffee. So, it was a great challenge for the brand to attract the tea-lover population and make them consumers of coffee at the initial stage.



Strategies for the Indian Market: From Overpriced to Affordable



Now the question is despite all these aforementioned challenges how Starbucks has managed to grow in India continuously? Well, this is the result of adapting new strategies to satisfy the needs of the local consumers. Here are some strategies that Starbucks has taken to ensure growth and success in the Indian market.

1. Starbucks has changed its **pricing strategy** in India in order to eliminate the stigma of being “overpriced” or “expensive”. To make the products more accessible to Indian consumers, the brand has introduced “Picco”, a six-ounce beverage cup priced at ₹185. The brand also revised its overall pricing strategy to target the market beyond the upper-class population in India.



Indian Touch in Menu and Responsible Resourcing



2. Considering the love for tea of Indian consumers, Starbucks has also **revised its menu** to add different varieties of tea including the famous “Masala Chai” of India. This Indian-inspired tea is laced with cardamom and other Indian spices. The brand has also brought a local touch to its snacks. The Tandoori Paneer Sandwiches perfectly blend the Indian flavors.

3. In order to support the local communities and respect the rich coffee heritage of India, Starbucks sourced significant portions of coffee beans from the local farms. On the first anniversary of Starbucks in 2013, the brand launched “**India Estate Blends**” sourcing the coffee beans from Coorg and Chikmagalur which are considered the birthplace of Indian coffee.



A Perfect Blend of Coffee with Local Culture, Design, and Festivities



4. The brand also took the initiative to localize the **store ambiance and design**. The Starbucks stores in India reflect the local design and community-oriented ambiance. It provides the customers with a cozy and homely feeling.

5. The marketing campaigns of Starbucks in India integrate local cultures. The brand provides themed products and special offers during Indian festivals like Holi and Diwali. It also launched its “**Diwali Blend**” which has an emotional appeal for Indian consumers.



Fusion Menu with Indian Culinary Expert



6. Starbucks has also taken the strategy of promoting the brand through local influencers. In 2021, Starbucks collaborated with popular Indian chef Sanjeev Kapoor launching a campaign named **#SanjeevKapoorMenuAtStarbucks**. The menu included a variety of international food items with a special Indian twist- Masala Chicken Croissant and Bhuna Murgh Pie are the most popular of them. Sanjeev Kapoor being the household name in India helped the brand gain the trust of the local consumers.



Giving Back to the Local Cause, Empowering Indian Women



7. As a part of its CSR activities, Starbucks focuses on empowering girls and women in India through proper education. In 2020, the brand launched a program called **Tata Starbucks Empowering Girls and Young Women** program by collaborating with local non-profit organizations. This program aimed to support around 2000 women through education, financial help, and skill development. This has helped to create a positive brand image for the company in India.



Final Thought

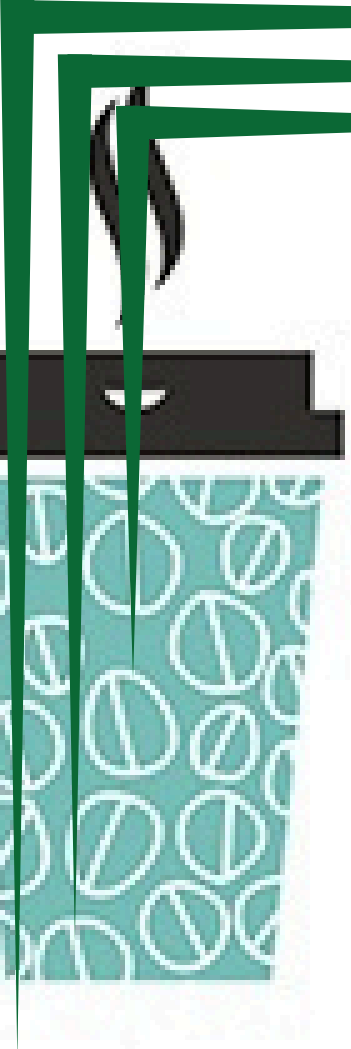


Our mission:

To inspire and nurture the human spirit – one person, one cup and one neighborhood at a time.

Brand strategy is the key to success in diverse markets. The brands need to apply suitable business strategies for the different markets they enter. The local culture, market needs, and the emotions of the consumers play a vital role in shaping the brand strategy. Once the brands capture the market needs and local culture they need to come up with the strategies that suit them. This is why Starbucks has been able to open more than 300 stores in India even though it was initially labeled as “overpriced”. The brand has been truly successful in inspiring and nurturing the human spirit in India.





**THANKS FOR STAYING
TILL THE END**

